

Demand and Supply

Unit-2

Concept of Demand and Supply

- Demand: Quantity of a good consumers are willing and able to purchase at different prices.
- Supply: Quantity of a good producers are willing and able to sell at different prices.

Types of Demand

- Individual Demand
- Market Demand
- Joint Demand
- Composite Demand
- Derived Demand

Determinants of Demand

- Price of the good
- Income of consumers
- Prices of related goods
- Consumer preferences
- Expectations of future prices

Determinants of Supply

- Price of the good
- Cost of production
- Technology
- Prices of related goods
- Government policies

Law of Demand

- Inverse relationship between price and quantity demanded.
- When price increases, demand decreases, and vice versa.
- Ceteris Paribus (other things being constant).
- Represented by downward sloping demand curve.

Law of Supply

- Direct relationship between price and quantity supplied.
- When price increases, supply increases, and vice versa.
- Ceteris Paribus (other things being constant).
- Represented by upward sloping supply curve.

Elasticity of Demand

- Price Elasticity of Demand
- Income Elasticity of Demand
- Cross Elasticity of Demand
- Degree of responsiveness of demand to changes in determinants.

Elasticity of Supply

- Responsiveness of quantity supplied to a change in price.
- Elastic supply: Large response to price change.
- Inelastic supply: Small response to price change.

Equilibrium Price and Quantity

- Point where demand equals supply.
- Market clearing price.
- No shortage, no surplus.
- Determined by interaction of demand and supply curves.